

SIZE

In striving for a superior investment result, I believe that, as a generality, there is a clear diseconomy of scale. In some respects this is obvious. The more dollars you manage beyond a certain point, the more difficult it is to achieve a substantial variance from market averages. More importantly, I find there is simply a mental limitation as to the number of truly quality ideas one can come up with in any time frame. Whatever diseconomy of scale there is tends to show up most obviously in periods when one's judgment is wrong. Sometimes it seems that when you're right, the sky's the limit in terms of size. But when you are wrong in your market exposure or individual stock selection, your ability to adjust positions and market portfolios is distinctly related to the size in which you deal. This holds true not only for liquidity but, more importantly, for mental flexibility.

Obviously, there is no ideal size: one's style is a key factor. I would think an amount perhaps less than double what we presently manage would begin to restrict our ability distinctly. I guess the moral of the story is *don't be wrong*.

FLEXIBILITY

Our firm is structured so that we can be both long stocks and short stocks. We can use options and futures. We can use leverage in stocks to the extent of the Federal Reserve Board margin requirements. We trade fixed-income securities and we may use leverage. (Our performance in the first nine months of fiscal 1982 was almost entirely due to a leveraged position in intermediate Treasury notes.) In addition, we can concentrate our security holdings to a substantial degree and are relatively insensitive to the thought of diversification.

The flexibility inherent in our structure can create enormous variance in our performance relative to market aver-